📘 CHAPTER 3 – MONEY AND CREDIT
(Class 10 Economics – CBSE Board Q&A)

🧠 1 Mark Questions

Q1. What is double coincidence of wants?
A. It refers to a situation in a barter system where two people each have something the other wants and agree to exchange those goods directly.

Q2. What are demand deposits?
A. Demand deposits are deposits in a bank account that can be withdrawn on demand by the depositor. They function as money because they can be used to make payments through cheques.

Q3. What is collateral?
A. Collateral is an asset owned by the borrower (like land, house, or vehicle) used as a guarantee to a lender until the loan is repaid.

Q4. Which organisation issues currency in India?
A. The **Reserve Bank of India (RBI)** issues currency notes on behalf of the **Central Government**.

Q5. What is meant by SHG?
A. A Self-Help Group (SHG) is a small group of 15–20 people, usually women, who pool their savings and lend money among themselves, often becoming eligible for bank loans later.

✍️ 2 Mark Questions

Q6. How does money solve the problem of double coincidence of wants?
A. In a barter system, exchange occurs only when both parties want what the other offers. Money eliminates this need because it is a common medium of exchange. For example, a farmer can sell wheat for money and use that money to buy clothes, without needing to find a cloth seller who wants wheat.

Q7. Distinguish between currency and demand deposits.

Basis	Currency	Demand Deposits
Form	Paper notes and coins	Deposits in bank accounts
Use	Used directly for payments	Used through cheques and online transfers
Issued by	RBI	Created when people deposit money in banks

Q8. What is the role of the RBI in the formal credit sector?
A. RBI supervises banks by ensuring they maintain a minimum cash balance, monitoring how much they lend, to whom, and at what interest rate, and directing them to lend to priority sectors like agriculture and small industries.

Q9. Mention two advantages of SHGs.
A. **(i)** They provide credit without collateral and at low interest rates.
(ii) They help members become financially independent and also discuss social issues like health and education.

Q10. Mention two differences between formal and informal credit.

Formal Credit	Informal Credit
Supervised by RBI	Not supervised
Lower interest rate	High interest rate
Requires documentation	Often no documentation
Transparent and safe	Can be exploitative

📖 3 Mark Questions

Q11. Explain the loan activities of banks.

- Banks accept deposits and pay interest on them.
- They keep about 5% of deposits as cash to meet withdrawal needs.
- The rest is lent as loans for various purposes.
- They charge higher interest on loans than they pay on deposits, and this difference is their main income.
- Thus, banks act as intermediaries between depositors and borrowers.

Q12. How can credit play a positive and a negative role?

- Positive: It can help expand production and increase income. *Example:* Salim borrowed money to complete an order, made profits, and repaid the loan.
- Negative: If income is insufficient, credit can trap borrowers in debt. *Example:* Swapna couldn't repay after a crop failure and had to sell her land.

Q13. What are the various terms of credit?

- **Interest Rate** – Amount charged for borrowing.
- **Collateral** – Asset pledged as security.
- **Documentation** – Proof of identity, income, and property.
- **Mode of Repayment** – Schedule and method of repayment.
  These vary based on lender, borrower, and purpose.

Q14. Why are poor households still dependent on informal sources of credit?

- They often lack collateral and documents.
- Banks are not present in many rural areas.
- Informal lenders are available locally and lend without paperwork.
- Hence, they rely on informal lenders despite higher interest rates.

Q15. What is the basic idea behind SHGs?

- To organise poor people, especially women, into small groups that pool savings and provide loans.
- After regular savings, SHGs become eligible for bank loans.
- They offer low-interest loans without collateral and promote self-employment and empowerment.

🧪 5 Mark Questions

Q16. Distinguish between formal and informal sources of credit. Why is formal credit preferred?

Feature	Formal	Informal
Source	Banks, cooperatives	Moneylenders, traders
Supervision	Regulated by RBI	No supervision
Interest Rate	Low and fixed	Very high
Documentation	Required	Often not required
Risk	Low	High, exploitative

Formal credit is preferred as it reduces exploitation, supports development, and offers loans at affordable rates.

Q17. Describe different credit arrangements in rural areas.

- **Moneylenders:** Easy access but high interest.
- **Traders:** Provide inputs on credit but exploit farmers.
- **Banks:** Offer low-interest loans but need documents and collateral.
- **Landowners:** Provide credit to labourers but may exploit them.
- **Cooperatives:** Pool resources and offer low-interest loans.

Q18. What is the role of banks in the economy?

- Act as intermediaries between depositors and borrowers.
- Facilitate cashless transactions through demand deposits and cheques.
- Provide credit for production and development.
- Encourage savings and investment.
- Support economic growth by lending to agriculture, trade, and industries.

Q19. Why should formal sources of credit be expanded?

- Only ~50% of rural credit needs are met by formal sources.
- Poor rely on expensive informal loans.
- Expanding formal credit reduces poverty, promotes entrepreneurship, and ensures equitable access to funds.

Q20. How do SHGs help in rural development?

- Provide small loans without collateral and at low interest.
- Enable self-employment and regular income.
- Promote financial literacy and women's empowerment.
- Serve as platforms to discuss and act on social issues.

📊 Case-Based Q&A

Q21. Swapna, a small farmer, takes a loan but her crop fails. She cannot repay and sells land to repay the moneylender.

- **(a)** What is her situation called?
  ➤ A **debt trap**.
- **(b)** Why did it happen?
  ➤ Crop failure reduced her income, making repayment impossible.
- **(c)** How can it be prevented?
  ➤ Crop insurance, access to formal credit, lower interest rates, and promotion of SHGs.

📘 CHAPTER 4 – GLOBALISATION AND THE INDIAN ECONOMY
(Class 10 Economics – CBSE Board Q&A)

🧠 1 Mark Questions

Q1. Define globalisation.
A. Globalisation is the process of rapid integration or interconnection between countries through trade, investment, technology, and movement of people.

Q2. What is an MNC?
A. A company that owns or controls production in more than one country.

Q3. What is foreign investment?
A. Money spent by foreign companies to buy assets like land or factories in another country.

Q4. What is liberalisation?
A. Removing government restrictions on trade and investment to allow free flow of goods and capital.

Q5. What does WTO stand for?
A. World Trade Organisation.

✍️ 2 Mark Questions

Q6. How do MNCs set up production in other countries?
A. They either:

- Set up joint ventures with local companies.
- Buy local companies.
- Place orders with small producers.
- Set up their own factories.

Q7. Explain foreign trade.
A. It is the exchange of goods and services between countries, connecting producers and consumers across borders and integrating global markets.

Q8. Role of technology in globalisation:
A. Improved transport and communication, rapid flow of information, and internet connectivity enable global production and trade.

Q9. Two positive impacts of globalisation on consumers:
A. Wider choice of goods and services and improved quality at lower prices.

Q10. Name two Indian MNCs.
A. Tata Motors and Infosys.

📖 3 Mark Questions

Q11. Factors enabling globalisation:

- **Technology** – Faster transport and communication.
- **Liberalisation** – Reduced trade restrictions.
- **International organisations** – WTO promotes free trade.

Q12. Impact on small producers and workers:

- Many small businesses close due to foreign competition.

- Job insecurity increases.
- Workers may face low wages and temporary employment.

Q13. Impact on consumers:
- Wider variety of goods.
- Improved quality and lower prices.
- Higher living standards for many urban consumers.

Q14. Foreign trade vs foreign investment:

Basis	**Foreign Trade**	**Foreign Investment**
Meaning	Exchange of goods/services	Purchase of assets abroad
Focus	Buying and selling	Ownership and control
Example	Exporting steel	Ford investing ₹1700 crore

Q15. How globalisation interlinks markets:
- Goods from one country enter another, increasing choices.
- Prices of similar goods align across countries.
- Example: Chinese toys integrated Indian markets.

🧪 **5 Mark Questions**

Q16. Role of MNCs in globalisation:
- Spread production across countries.
- Provide capital and technology.
- Source materials globally to reduce costs.
- Buy local companies and place orders with small producers.
- Influence global trade and investment.

Q17. Steps by Indian government to attract foreign investment:
- Creation of SEZs with infrastructure and tax incentives.
- Relaxation of labour laws.
- Liberalisation of trade policies.
- Infrastructure development.

Q18. Positive and negative impacts of globalisation:

✅ **Positive:**
- Wider consumer choice.
- More foreign investment.
- New jobs created.
- Indian companies became global.

❌ **Negative:**
- Small producers suffer losses.
- Unequal distribution of benefits.
- Labour exploitation increases.

Q19. How liberalisation encouraged globalisation:
- Removed trade barriers.
- Attracted foreign companies.
- Improved quality and competitiveness of Indian goods.
- Integrated Indian markets globally.

Q20. Steps to make globalisation more fair:

- Developed nations must remove trade barriers.
- Support farmers in developing countries.
- Protect labour rights and environment.
- Improve infrastructure and credit access.
- Promote fair trade rules.

💡 HOTS

Q21. Why is the impact of globalisation not uniform?
A. Urban consumers and large companies benefited most, while small producers, workers, and rural areas often suffered. Benefits are unevenly distributed.

Q22. How foreign trade integrates markets:
A. By enabling goods from one country to be sold in another, increasing choices, aligning prices, and creating global competition.

Q23. Why do developed countries still support their farmers?
A. They give subsidies to reduce production costs and dominate markets, which creates unfair competition for farmers in developing nations.

📊 Case-Based Q&A

Q24. Chinese toys enter India and replace Indian toys.

- **(a)** Impact on Indian toy makers: They suffered losses or closed down.
- **(b)** Benefit to consumers: Cheaper and more varied options.
- **(c)** Competition: Increased competition lowered prices and improved quality.